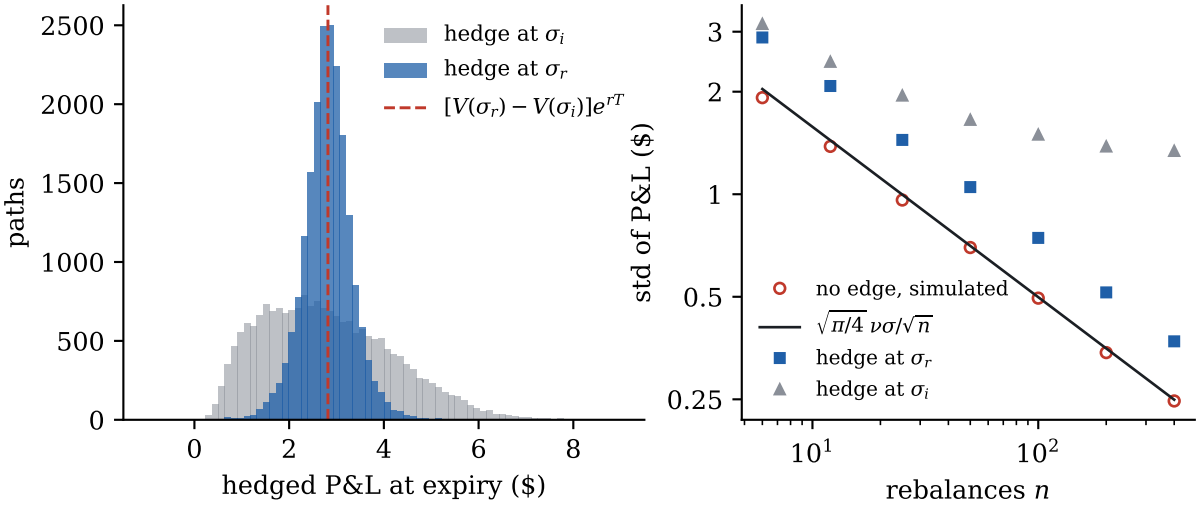
2500
2000
1500
1000
500
0
paths
hedge at σ_i
hedge at σ_r
$[V(\sigma_r) - V(\sigma_i)]e^{rT}$
0
2
4
6
8
hedged P&L at expiry ($)
3
2
1
0.5
0.25
std of P&L ($)
no edge, simulated
$\sqrt{\pi/4}\,\nu\sigma/\sqrt{n}$
hedge at σ_r
hedge at σ_i
10^1
10^2
rebalances n